

INTERNAL AUDIT REPORT

Approval Controls Audit | Report No. AR-02302

Report ID:	AR-02302
Audit Type:	Approval Controls Audit
Report Date:	August 28, 2023
Audit Period:	2023-01-19 to 2023-08-11
Lead Auditor:	Jasmin Smith (EMP-40112)
Reviewed By:	Kevin Colon (EMP-18612)
Primary Vendor Reference:	NexPoint Analytics Holdings (VND-03433)
Subject Employee Reference:	Carlos Harris (EMP-47008)
Primary Transaction Reference:	TXN-200588
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This approval controls audit covered the period 2023-01-19 to 2023-08-11 and focused on transactions and approvals associated with vendor NexPoint Analytics Holdings (VND-03433). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **MEDIUM** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-200588 (amount 7,783.66 USD) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-004668	MEDIUM	POLICY BREACH	Expense claim of \$300,138 for Equipment exceeds the policy maximum of \$25,000. Overage: \$46,489.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-003576	APPROVAL RECORD	EVD-SCE-8281	0.99
EVI-004235	EXPENSE CLAIM	EVD-HUX-0477	0.87
EVI-004436	EXPENSE CLAIM	EVD-DKE-3446	0.54
EVI-006155	COMPLIANCE RECORD	EVD-BKI-1876	0.81
EVI-011769	VENDOR RECORD	EVD-NDS-2848	0.76
EVI-011771	COMPLIANCE RECORD	EVD-GLN-4488	0.57

5. RECOMMENDATIONS

- Strengthen segregation of duties between transaction initiation and approval functions.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Jasmin Smith	EMP-40112	2023-08-28
Reviewing Officer	Kevin Colon	EMP-18612	2023-08-30